

# Nonprofit Sector History and Necessity

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# A Public Economics Crash-Course

- Market theory shows that under certain conditions, an efficient, socially optimal allocation of a good will be produced and consumed at the market clearing price
- This works pretty well for certain goods (like oranges), but less well for other goods (like F-18's)
- The circumstances where the market fails to provide an efficient, socially optimal allocation of a good is referred to as **market failure**, indicating that private, for-profit enterprises will likely not be an effective provider for those goods and services
- Government *can*, and sometimes does provide goods that markets fail to efficiently provide
- However, due to incentives faced by individual elected officials, in many instances, it is unlikely that the government will provide a socially optimal allocation of a good or service, which is also known as **government failure**
- Nonprofits can bridge the gaps of government failure and market failure, allowing for the “third sector” to exist!

# Public Goods, Club Goods, Common Pool Resources

- Goods and services have two dimensions of availability: rivalry, and excludability
- Rivalry: A good is considered to be rivalrous when only one individual can use it at a time
- Excludable: A good is considered to be excludable if it is possible to stop an individual from using a good or service
- Goods that are rival and excludable are private goods, which the market provides efficiently (under certain conditions)
- Goods that are non-rival and non-excludable are considered public goods
- Goods that are non-rival and excludable are considered club goods
- Goods that are rival and non-excludable are considered common pool resources
- Nonprofit organizations are set up to provide public goods, club goods, and manage common pool resources in a manner more efficient than the private sector

# Externalities

- Externalities are either costs or benefits that impact a third party outside of a transaction
- Since these costs/benefits are not fully realized by the buyer or seller, the private market allocation will fail to be efficient in the presence of externalities
- Nonprofit organizations, with their lack of profit motive, can help guide goods and service provision in such a way that minimizes markets with negative externalities and promotes markets with positive externalities

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# The Dawn of Voluntary Associations

- The history of voluntary associations are as old as society itself, both with their roots dating back 10,000 years
- Notions of coming together to help those in need and helping one's community came early in the history of modern humans, and has stuck with us ever since
- Many of these early groups were religious in nature, a theme that will remain present until the 20th century
- Early concepts of philanthropy for the impoverished can be traced back to Egypt in 2,300 B.C.E.
- Early concepts of gifts for community strength stem from ancient Greece

# British Roots of American Nonprofits

- American nonprofit law traces back to the Elizabethan British Parliament in the *Statute of Charitable Uses*
- These laws established what counts as charitable activity and an accountability procedure for charity fraud, the basis of which we see in the IRS today.
- The Elizabethan Poor Laws of 1575 and 1601 focused on churches, requiring them to care for the poor with locality support stepping in if the churches failed to do so.
- Many of these church programs were funded through tax dollars, as the Crown and the Church of England were two social institutions of the English monarchy
- The first charitable organization in the United States (at the time the American Colonies) was Harvard College in 1636
- The two main charitable purposes considered at this point were poverty, health, and education



# Creation of the United States

- The United States was founded as a secular nation based on the separation of church and state
  - This represented a major departure from England, as church charity programs (still making up most of this sector) were no longer funded by tax dollars
- However, many voluntary associations were created as a direct result of the First Amendment to the Constitution, funded by donations and voluntary action, similar to the sector today

# Voluntary Associations in the 1800s

- Sector formalization occurred throughout the 1800s
- 1819 – Dartmouth v Woodward grants property rights to nonprofit organizations and their trustees
- 1844 – Nonprofit organizations are recognized under federal
- 1861-1865 – The US Government contracts medical services for soldiers to religious-based nonprofits
  - Note: most organizations are still religious in nature at this time
- 1894 – Congress creates the first federal income tax and creates a tax-exempt sector
- This century also sees the addition of arts and museums to the sector

# Creation of the Sector and Corporatization

- The early 1900s see the titans of the Gilded Age usher in a Golden Age of Philanthropy
- 1913 – Creation of a federal income tax with a tax-exemption for nonprofits is ratified by the 16th amendment
- 1917 – A tax deduction for philanthropy is created
- During the first half of the 20th century, we see two additional changes:
  - The definition of charitable activity is again expanded to include science and research
  - Secular charity begins to grow

# Rise of the Welfare State

- With the Great Depression, election of FDR, and the enactment of several New Deal programs, the United States created its first government welfare state in the 1930s
- This creation was in response to the Great Depression creating need far exceeding nonprofit sector capacity to care for the impoverished
- Programs created during this time include pensions, unemployment insurance, and cash assistance programs such as farm subsidies and crop insurance
- The 1960s saw further increases in federal spending on poverty aid with LBJ's Great Society as apart of his "War on Poverty."
- Despite Civil Rights reform in the 1960s, many of these programs were set up to exclusively benefit white Americans, with African-Americans having their rights to the programs denied

# Privatization and Secularization

- With the election of Ronald Reagan in 1980, the US Government slashed many of their direct provisions of aid, and instead privatized many programs
- This privatization largely went to nonprofit organizations, resulting in the sector seeing explosive growth over the next 20 years.
  - For context, the US economy grew by 62% from 1977-1996. Over the same window, nonprofit sector revenues increased by 92%
- The sector experienced significant secularization over this time period with the emergence of non-religious nonprofits
  - Despite this, many aid organizations today still are religious in nature, with 45% of all international, voluntary, private organizations being Evangelical Christian in nature alone (McCleary and Barro, 2008)

# Social Entrepreneurship and Sector Convergence

- Today, many for-profit businesses engage in charitable practices, and are increasingly being required to be more community-minded by American consumers
  - Examples include the promotion of ESG funds and investing, along with the participation of corporations in social movements
- This has resulted in the rise of “social entrepreneurship,” or individuals who are exploring business opportunities with a positive impact on their community
  - Common examples include Tom’s Shoes and Love Your Melon
- These organizations are both for-profit organizations, but with missions that are more similar to non-profit organizations
- As such, we have begun to see the private sector and non-profit sector converge